

both bull and bear markets, the chart pattern stopped working. Now, performance ranks near the bottom of the list: 30 out of 39, where 1 is best (bull market).

I noticed the performance decline but suffered through losses until I figured out this pattern didn't work. I'd see price climb 10% to 15% after a breakout and then collapse. After a bear market, I'd see price double, form the flag pattern, and either die right then or rise by the same 10% or 15% before collapsing.

During the Covid-19 pandemic of 2020, we saw the same behavior. I warned readers of my blog not to trade this pattern. And I was right. I think I saw one flag perform as expected, but dozens of others failed.

Let's take a tour to see what the pattern looks like.

Tour

[Figure 35.1](#) shows a classic example of a high, tight flag. The quick rise from the low point at 14 to the flag high at 30.75 took less than 2 months. The volume trend was downward throughout the chart pattern. After a slight pause, the stock continued rising. In another 2 months, it reached a peak of 120. That's the way the pattern used to work in the glory days of the 1990s.

The high, tight flag is a momentum play (buy high, sell higher). When a stock doubles in a short time, it usually takes a breather and consolidates. When it does, it gives the trader the opportunity to buy the stock before the rise resumes. How do you correctly identify a high, tight flag?